

2.4 Difference between Trading & Investing

Trading	v/s	Investing
Short Term		Long Term
Technical Analysis		Fundamental Analysis
Generates Capital		Grow Capital
Benefits from Short Term Fluctuations		Ignores Short Term Fluctuations
Uses Charts, Candlesticks, etc		Annual Reports, Industry Reports, Management Meet etc.
Buy to sell		Buy to hold
Built around Crowd Following		Built around Contrarian Approach